SHG – Bank Linkage and Women's Financial Inclusion in Kollegala Taluk, Chamarajanagar District, Karnataka

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Abstract

This paper looks at how self-help groups, called sanghas by women in Kollegala taluk, Karnataka, connect women to formal savings and credit, and what problems limit this. It uses official statistics on the SHG–Bank Linkage Programme, Census 2011 data for the taluk, one published survey of 100 women in Kollegala, and the author's oral interviews with members of three SHGs in Linganapura and Kempanapalya villages. In the groups studied, about 20 members save ₹20–50 a week, borrow up to ₹1,000 from their pooled savings, and report receiving a bank loan of about ₹1.5 lakh that is repaid with interest; the interest earned is shared among members. The published survey reports that women now borrow mainly from SHGs rather than moneylenders or relatives, but only 12 of 100 borrow directly from a bank. Members said the sangha had increased their financial independence and their say in household decisions. They also reported serious problems, which could not be verified: late repayment, cases of fraud, and members leaving with borrowed money, which left the remaining members to repay the bank and led some groups to close. Many members are now inactive. The evidence suggests that women's financial inclusion in Kollegala works mainly through the group rather than through individual bank accounts. The sample is small and the paper does not measure causal effects.

Keywords: self-help groups; SHG–Bank Linkage Programme; women's financial inclusion; sangha; Kollegala; Karnataka.

1. Introduction

Self-help groups (SHGs) are small groups, mostly of women, who save regularly, lend from their pooled savings to members, and keep their own books. Under the SHG–Bank Linkage Programme (SHG-BLP), which began with 255 groups in 1992, a group opens a savings account with a bank and, once it has a record of regular saving and lending, borrows from the bank and on-lends to its members (NABARD, 2024, p. 11). Under the Deendayal Antyodaya Yojana – National Rural Livelihoods Mission (DAY-NRLM), women's SHGs have 10 to 20 members and receive a revolving fund of ₹20,000 to ₹30,000 to build their corpus (RBI, 2024). By 31 March 2024, 144.22 lakh SHGs held savings accounts with banks, 83.5% of them all-women groups (NABARD, 2024, pp. 8, 13).

For many rural women, the SHG is the first contact with formal finance. That contact can take two forms. Group-level inclusion means that a woman saves and borrows through a group whose account is with a bank or a government programme. Individual inclusion means that she holds and uses a bank account or loan in her own name. The SHG-BLP is designed to deliver the first; whether it leads to the second is the central question of this paper.

Kollegala taluk in Chamarajanagar district is a useful case. At the 2011 Census it was largely rural, about two-fifths of its population belonged to Scheduled Castes or Scheduled Tribes, and female literacy was well below male literacy (Section 5). In the taluk, women commonly refer to their SHG as a sangha, the term used in the rest of this paper for groups observed locally.

1.1 Research question and objectives

How do SHGs connect women in Kollegala taluk to formal savings and credit, and what factors limit their contribution to women's financial inclusion?

Objective 1. To describe how a sangha in Kollegala operates, including savings, internal lending, bank loans and the distribution of surplus.

Objective 2. To examine women's reported sources of borrowing and distinguish group-based credit from direct borrowing from banks.

Objective 3. To identify the main problems facing sanghas, including repayment, group closure and inactivity.

Objective 4. To assess the available evidence on financial independence and decision-making, and identify the data needed for a firmer assessment.

2. Literature Review

2.1 SHGs and women's empowerment

Studies with comparison groups find that SHG membership is associated with gains for women, but of varying size. Swain and Wallentin (2009), using quasi-experimental household data from five Indian states for 2000 and 2003, found a significant increase in empowerment among SHG members and no significant change among non-members, while noting that some members benefited more than others. Hoffmann et al. (2021) evaluated a government SHG programme in Bihar with a randomised rollout across 180 panchayats: after two years, SHG membership and borrowing rose sharply, informal borrowing fell and remaining moneylenders lowered their rates, but the short-run effect on economic well-being was "modest." Kochar et al. (2022) found that larger Community Investment Fund loans under the National Rural Livelihoods project had large effects on women's role in household decisions, and argued that the small loans typical of many SHGs may be too small to produce such effects.

Studies of microfinance outside India point in the same direction but with weaker designs. Mengstie (2022), surveying 346 women microfinance clients, found significant before-and-after differences in income, assets and savings, and that credit amount and training were associated with greater economic empowerment. Khursheed (2022), from in-depth interviews with six women borrowers in rural Pakistan, reported gains in empowerment and entrepreneurship and recommended training and supervision for clients. Both rely on before-and-after or qualitative evidence and cannot rule out other explanations.

2.2 Evidence from Kollegala

The only published survey located for Kollegala is Premakumari (2024), who interviewed 100 women microfinance beneficiaries in about twenty villages of the taluk, asking about their situation before and after joining an SHG. It reports a shift in the main source of borrowing from moneylenders and relatives to SHG credit, more regular saving, and higher reported income. The study has three limitations for this paper: "before" values are recalled; there is no comparison group; and it uses "microfinance" for both SHG loans and other lending, so it does not identify bank-linked credit. Several of its tables also do not add up to their stated totals.

2.3 Research gap

Existing work on Kollegala reports outcomes but not how local groups actually operate: where their funds come from, how loans are repaid, and why groups fail. Nor does it distinguish group-level from individual financial inclusion. This paper addresses that gap by combining official data with direct observation of sanghas in the taluk.

3. Data and Methodology

The study is descriptive and combines three kinds of evidence, which are kept separate throughout.

- **Official statistics.** NABARD's Status of Microfinance in India 2023-24 and the RBI Master Circular on DAY-NRLM (April 2024). Figures are reported at the level they refer to, national or Karnataka, and are never treated as Kollegala figures.
- **Published local data.** Census 2011 figures for Kollegala sub-district, taken from two independent compilations of Census data that agree on the main counts, and the Premakumari (2024) survey. All survey figures are the published values; none has been corrected or imputed.
- **Field interviews.** Informal oral conversations were held with available members of three self-help groups in Linganapura and Kempanapalya villages of Kollegala taluk. The discussions covered regular savings, internal lending, bank loans, repayment practices and challenges faced by the groups. The information was recorded and used to describe the experiences reported by members. Participation depended on members' availability and willingness to speak. Bank loan amounts and repayment arrangements were not independently verified because participants did not provide access to their financial records. The findings are illustrative of the groups discussed and should not be generalised to all SHGs in Kollegala.

Two data issues affect the analysis. First, Hanur was made a separate taluk from January 2018 (Star of Mysore, 2017), and Hanur town was part of Kollegala at the 2011 Census, so Census figures describe the larger pre-2018 taluk, which included the present Hanur taluk. Second, no

published source reports the number of SHGs, their savings, loans or repayment for Kollegala taluk. The analysis therefore uses counts, shares and simple calculations, and makes no causal estimates.

Because only three groups were covered and only members who were present could be interviewed, the field findings show what happens in these groups, not in all SHGs in the taluk. Serious claims made by members, such as fraud or members leaving with group money, are reported as allegations and were not checked against group or bank records.

4. The SHG–Bank Linkage Programme: Official Data

Table 1. SHG–Bank Linkage Programme, all India, as on 31 March 2024

Indicator	SHGs (lakh)	Amount (₹ crore)	Per SHG (₹)*
Savings with banks	144.22	65,089.15	45,132
Loans disbursed during 2023-24	54.82	2,09,285.87	3,81,769
Loans outstanding	77.42	2,59,663.73	3,35,396
All-women SHGs among savings-linked SHGs	120.44	–	83.5% of SHGs*
Gross NPA on SHG loans (% of outstanding)	–	2.05%	–

*Source: NABARD (2024), Status of Microfinance in India 2023-24, pp. 8, 13, 27. *Author's calculation (amount ÷ number of SHGs; 120.44 ÷ 144.22).*

Nationally, loans outstanding to SHGs are about four times their savings with banks (author's calculation), so bank credit is the larger formal flow. Bank lending under DAY-NRLM follows set rules: a group must have been active for six months, follow the "Panchasutras" of regular meetings, regular savings and regular internal lending, and meet NABARD's grading norms; the first loan is six times the group's corpus or at least ₹1.5 lakh, repayable over 24 to 36 months. Loans up to ₹20 lakh require no collateral, and no lien may be marked on the group's savings account (RBI, 2024).

Karnataka is among the most active states: banks disbursed ₹25,253 crore to SHGs there in 2023-24, about 12.1% of the national total (NABARD, 2024, p. 19; author's calculation). NABARD also reports that 98% of savings-linked SHGs in Karnataka had bank loans outstanding, the highest share of any state (NABARD, 2024, p. 21). These are state figures. No published source reports the number of SHGs, their savings, loans or repayment for Kollegala taluk, so the programme's scale in the taluk cannot be measured from official data.

5. Kollegala Taluk: Context

Table 2. Kollegala taluk: selected indicators

Indicator	Value	Year; boundary
Population; females	3,57,853; 1,76,465	2011; pre-2018
Sex ratio (females per 1,000 males)	973*	2011; pre-2018
Rural population share	80.9%*	2011; pre-2018
Effective literacy: total / male / female	63.6% / 70.0% / 57.1%	2011; pre-2018
Scheduled Castes; Scheduled Tribes	1,01,508 (28.4%); 40,072 (11.2%)	2011; pre-2018
Children aged 0–6	36,771 (10.3%)	2011; pre-2018
Households	84,685	2011; pre-2018
Villages; towns (Kollegala and Hanur)	139; 2	2011; pre-2018

*Sources: Census of India 2011 as compiled by Censusofindia.net (n.d.) and CensusIndia2011.com (n.d.). *Author's calculation. Effective literacy excludes children aged 0–6.*

Female effective literacy was 12.9 percentage points below male literacy in 2011 (author's calculation), which matters for women's ability to read loan terms, keep group records and use digital banking. About two in five residents belonged to Scheduled Castes or Scheduled Tribes, groups that have historically had weaker access to formal credit, and four in five lived in villages. These figures are now more than a decade old and describe the larger taluk before Hanur was separated, so they show the general character of the area rather than its present position.

On livelihoods, the published survey of Kollegala reports that milk production was the most common occupation of SHG members after joining (36 of 100 respondents, up from 12), followed by roadside vending (16) and agricultural labour and tailoring (12 each) (Premakumari, 2024, Table 5). These activities shape what women borrow for and how they repay.

6. How a Sangha Works in Kollegala: Field Interviews

Table 3 summarises how the three sanghas operate, as described by their members, alongside the corresponding features of the national DAY-NRLM framework. The comparison shows where local practice matches the official design and where it differs.

Table 3. Sangha operations observed in Kollegala compared with the DAY-NRLM framework

Feature	Observed in Kollegala (author)	DAY-NRLM framework (RBI, 2024)
Group size	About 20 members	10 to 20 members
Savings	₹20–50 per member per week	Regular savings required (one of the "Panchasutras")
Internal loans	Up to ₹1,000 per member from pooled savings, with interest	Lending from own corpus is part of eligibility for bank credit
Bank loan	About ₹1.5 lakh per sangha, varying with the number of members; repaid with interest (members spoke of about five years)	First loan: six times the group's corpus or at least ₹1.5 lakh, repaid in 24–36 months
Surplus	Interest earned on savings and loans shared among members with their savings	Not specified in the circular

Sources: author's interviews with members of three SHGs in Linganapura and Kempanapalya, Kollegala taluk; RBI (2024), Master Circular on DAY-NRLM.

Three points stand out. First, the savings observed are consistent with the published survey. Saving ₹20 to ₹50 a week is equivalent to about ₹87 to ₹217 a month (author's calculation, at 52 weeks a year), close to the ₹100 to ₹200 a month most commonly reported in Kollegala by Premakumari (2024). A sangha of 20 women saving at this rate every week would accumulate about ₹20,800 to ₹52,000 a year (author's calculation), comparable to the national average of about ₹45,000 in savings per SHG (Table 1).

Second, internal loans are small. A loan of up to ₹1,000 is less than one year of a member's own savings at the observed rates (₹1,040 to ₹2,600; author's calculation). Such loans can meet small needs but are unlikely to finance a productive asset such as a dairy animal, which is consistent with the argument of Kochar et al. (2022) that small SHG loans have limited economic effects.

Third, the bank loan described by members fits the official design closely. The minimum first loan under DAY-NRLM is ₹1.5 lakh, and larger loans are linked to the group's savings, which explains why members said the amount depends on the size of the group (RBI, 2024). Members of the three groups reported receiving bank loans of approximately ₹1.5 lakh per group. Since bank passbooks or loan records were not available for verification, these amounts and the reported repayment terms should be treated as interview-based information rather than independently verified figures. The repayment period members described, about five years, is longer than the 24 to 36 months set for a first loan, but similar to the 48 to 60 months allowed for a third loan; it may reflect a later loan or members' recollection, and would need bank records to confirm. Shared equally among 20 members, a loan of ₹1.5 lakh gives about ₹7,500 each (author's calculation), much more than the ₹1,000 available from the group's own savings. The bank loan, as reported, is therefore the main source of credit in these groups.

7. Borrowing and Financial Inclusion

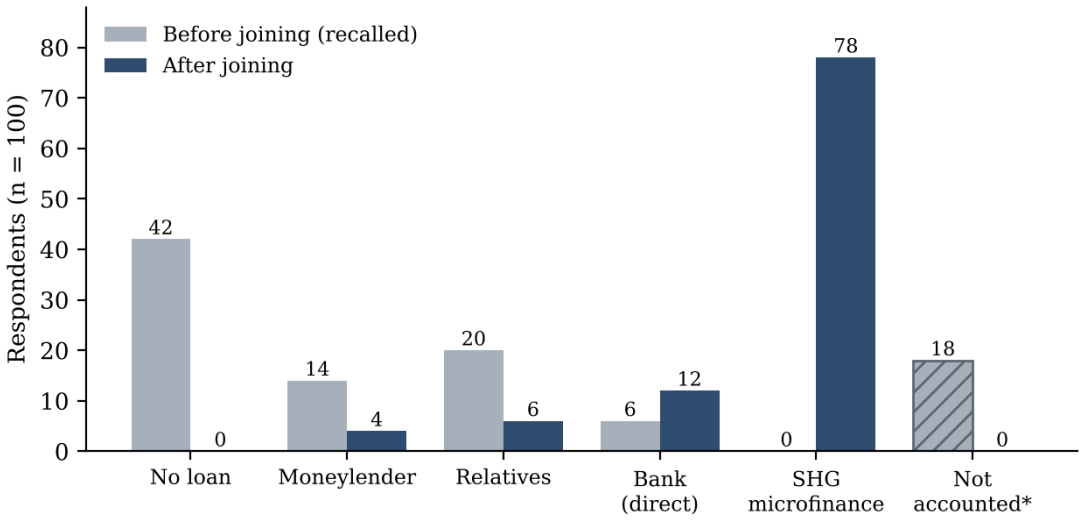


Figure 1. Main source of borrowing reported by 100 women SHG members, Kollegala taluk

*Source: Premakumari (2024), Table 8. "Before" values are recalled. *The published "before" rows sum to 82; the 18 respondents not accounted for are shown separately (author's calculation) and are not assigned to any category.*

The published survey records one main source of borrowing per respondent. Informal borrowing from moneylenders and relatives falls from 34 respondents to 10, direct bank borrowing rises from 6 to 12, and 78 name SHG credit as their main source (author's calculation from the published table). This substitution of group credit for informal credit is consistent with Hoffmann et al. (2021), who found the same pattern under a randomised design. It is the most robust result in the local evidence.

Two qualifications follow. Because the survey does not say whether SHG loans came from pooled savings, government funds or banks, the number of women whose main loan was bank-funded lies anywhere between 12 and 90 out of 100 (author's calculation). In the three groups interviewed for this paper, members reported that SHG credit included a bank loan. Even so, only 12 of the surveyed women borrowed from a bank in their own name. Both the survey and the interviews therefore point to inclusion that operates mainly at the level of the group. The sangha gives women a safe place to save and a source of credit, but most do not build an individual relationship with a bank.

The interviews add a point the survey does not capture. Members said that most borrowing from the sangha is not for emergencies but for other purposes that borrowers do not disclose. Without information on loan use, neither the group nor the bank can judge whether loans finance consumption, household needs or income-generating activity. This also limits the interpretation of reported income gains.

Members described the sangha as having increased women's financial independence and their role in household decisions. These are members' own assessments, consistent with the findings of Swain and Wallentin (2009) and Kochar et al. (2022), but they were not measured, and the paper cannot separate the sangha's contribution from other changes in women's lives.

8. Challenges Facing Sanghas

Repayment, alleged fraud and group closure. Late repayment was the main problem members described. They also made more serious allegations, which could not be verified against group or bank records: that there had been cases of fraud, and that some members had left the village with money they had borrowed. According to members, when this happens the remaining members have to repay the borrowed amount, and this burden is the reason some SHGs were closed. The economics behind this is the group's joint responsibility for the bank loan. The bank lends to the group, not to individuals, so if one member does not repay, the others must cover her share to keep the group's loan regular. This explains how the national gross NPA on SHG bank loans can stay low, at 2.05% (Table 1), while groups themselves come under strain: the loss falls on members rather than on the bank. Repeated defaults weaken the trust that group lending depends on.

Inactivity and digitalisation. Many members are now inactive. Members attributed this to the spread of digital banking and to rising living standards. A plausible interpretation is that some women now have easier access to bank accounts, digital payments and other sources of credit, and need the sangha less. This is a hypothesis: it was not tested, and inactivity could also reflect the repayment problems above. If it is correct, it would suggest that some women are moving from group-level to individual financial inclusion.

Loan size. Internal loans of up to ₹1,000 are small relative to the cost of a livelihood asset, and the survey reports no loan sizes, so whether credit is adequate cannot be assessed.

Literacy and record-keeping. Low female literacy may limit members' ability to keep records and track repayment, which could contribute to the problems above. The link has not been tested in Kollegala.

Evidence. The only published local survey has recalled baselines, no comparison group and arithmetic inconsistencies in several tables (for example, its "before" borrowing figures sum to 82 respondents rather than 100). No official SHG data are published for the taluk.

9. Findings, Recommendations and Limitations

9.1 Main findings

- **Operation.** In the three groups studied, about 20 women save ₹20–50 a week, lend up to ₹1,000 internally, and report receiving a bank loan of about ₹1.5 lakh repaid with interest.

This is consistent with the official design, but the loan amounts and terms were not verified against bank records.

- **Inclusion.** Women's main source of borrowing is reported to have shifted from moneylenders and relatives to the sangha, but only 12 of 100 surveyed women borrow directly from a bank. Inclusion is mainly at the group level.
- **Sustainability.** Members reported late repayment and alleged fraud and absconding; because the group must still repay the bank, the burden falls on the remaining members, and some groups have closed. Many members are now inactive. These claims are unverified.
- **Empowerment.** Members report greater financial independence and decision-making, but this cannot be measured or attributed to the sangha with the available evidence.
- **Data.** No official SHG statistics are published for Kollegala, and the loan terms reported by members need checking against bank records.

9.2 Recommendations

Strengthen repayment safeguards. Sanghas and their federations should keep simple written loan records showing the amount, purpose and repayment date, with regular review at meetings. This responds directly to the repayment problems and undisclosed loan use members described, and would help protect members from bearing the cost of another member's default.

Link literacy to individual accounts. Financial literacy sessions for members should cover record-keeping, interest calculation and the use of individual bank accounts and digital payments, so that the shift towards digital banking adds to inclusion rather than replacing it.

Publish taluk-level data. The lead bank and the state rural livelihoods mission should publish taluk-level data on active and closed SHGs, savings, loans and overdue amounts. Without these, neither the decline in activity nor the extent of bank linkage can be tracked.

Proposals to test. The following require testing before wider use: helping members with good repayment records obtain individual bank credit; reviving inactive sanghas by linking their loans to local livelihoods such as dairying; and requiring sanghas to deposit surplus income in their bank accounts.

9.3 Limitations

The interviews covered only some members of three SHGs in two villages, chosen by availability, so they show what happens in these groups, not how common it is in the taluk. Serious allegations were not verified. The published survey has the weaknesses noted above, Census figures date from 2011 and describe the pre-2018 taluk, and no official taluk-level SHG data were available. A firmer assessment would need bank and NRLM records for Kollegala and a household survey comparing SHG members with non-members.

10. Conclusion

This paper asked how SHGs connect women in Kollegala taluk to formal savings and credit, and what limits their contribution. The evidence suggests that the sangha connects women to formal finance mainly as a group. Members save small amounts every week, borrow from pooled savings and from a bank loan to the group, and share the interest earned; the published survey reports that SHG credit has largely replaced moneylenders and relatives as women's main source of loans. Members describe greater financial independence and a stronger role in household decisions. But the connection is fragile and mostly indirect. Few women borrow from banks in their own name, internal loans are small, members report that late repayment, alleged fraud and absconding have forced some groups to close, and activity is falling as digital banking spreads. Whether that decline signals a move towards individual financial inclusion, or a loss of the savings and credit the sangha provided, is the key question for further research, and it cannot be answered without taluk-level data.

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